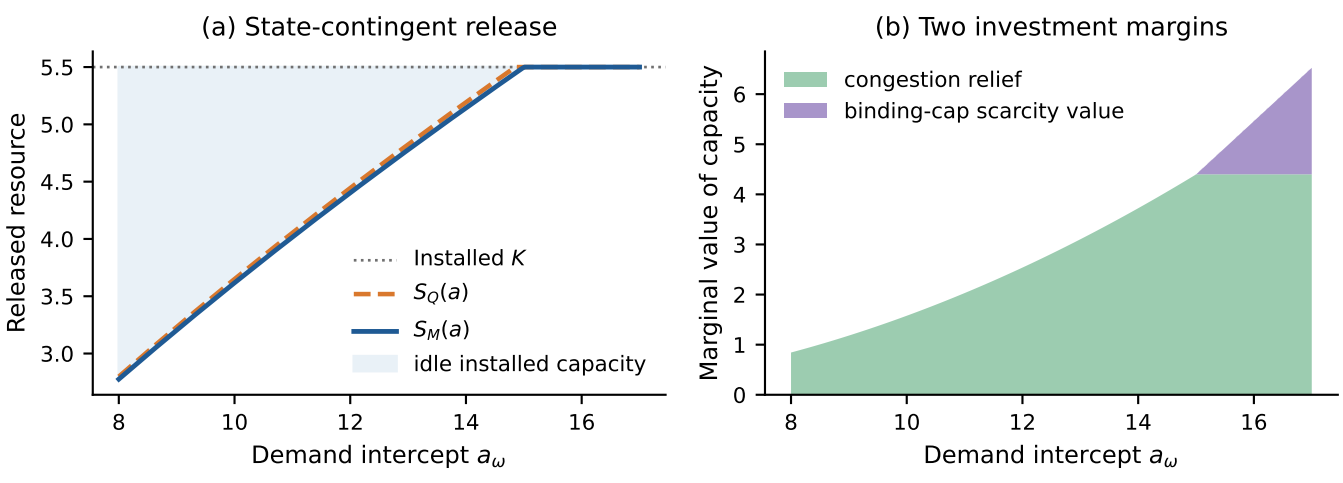
(a) State-contingent release
Released resource
5.5
5.0
4.5
4.0
3.5
3.0
Installed K
$S_Q(a)$
$S_M(a)$
idle installed capacity
8
10
12
14
16
Demand intercept a_ω
(b) Two investment margins
Marginal value of capacity
6
5
4
3
2
1
0
congestion relief
binding-cap scarcity value
8
10
12
14
16
Demand intercept a_ω